2 The Recording Process

Learning Objectives

1. Describe how accounts, debits, and credits are used to record business transactions.
2. Indicate how a journal is used in the recording process.
3. Explain how a ledger and posting help in the recording process.
4. Prepare a trial balance.



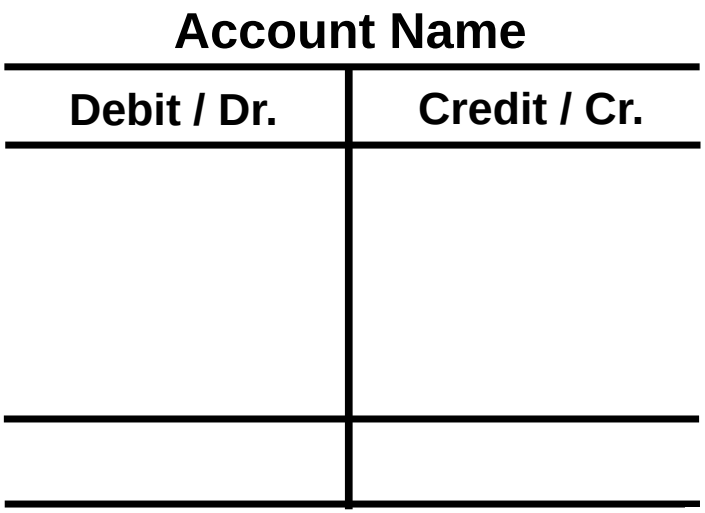
LEARNING OBJECTIVE 1

Describe how accounts, debits, and credits are used to record business transactions.

The Account

- Record of increases and decreases in a specific asset, liability, owners' equity, revenue, or expense item.
- Debit = "Left"
- Credit = "Right"

An account can be illustrated in a T-account form.



LO 1

The Account

DEBIT AND CREDIT PROCEDURES

Double-entry system

- Each transaction must affect two or more accounts to keep the basic accounting equation in balance.
- Recording done by debiting at least one account and crediting at least one other account.
- **DEBITS must equal CREDITS**.

Debits and Credits

If the sum of Debit entries are greater than the sum of Credit entries, the account will have a debit balance.

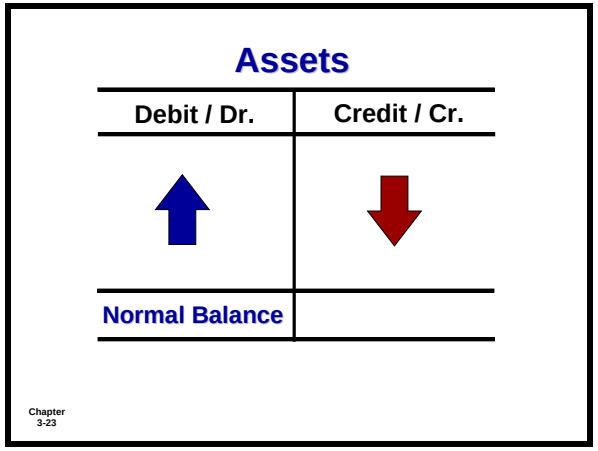
	Account Name		
	Debit / Dr.	Credit / Cr.	
Transaction #1	$10,000	$3,000	Transaction #2
Transaction #3	8,000		
Balance	$15,000		

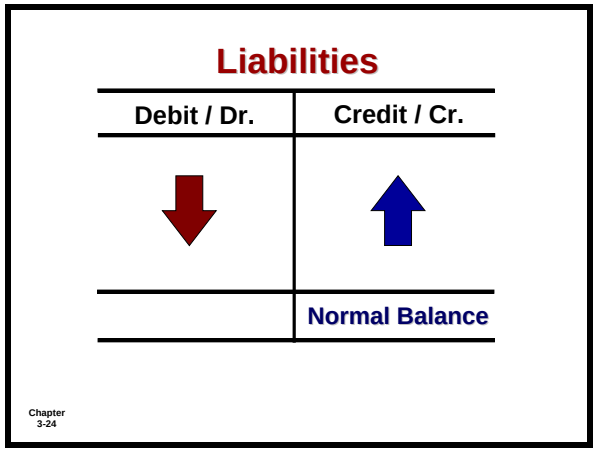
Debits and Credits

If the sum of Credit entries are greater than the sum of Debit entries, the account will have a credit balance.

	Account Name		
	Debit / Dr.	Credit / Cr.	
Transaction #1	$10,000	$3,000	Transaction #2
		8,000	Transaction #3
Balance		$1,000	

Debits and Credits

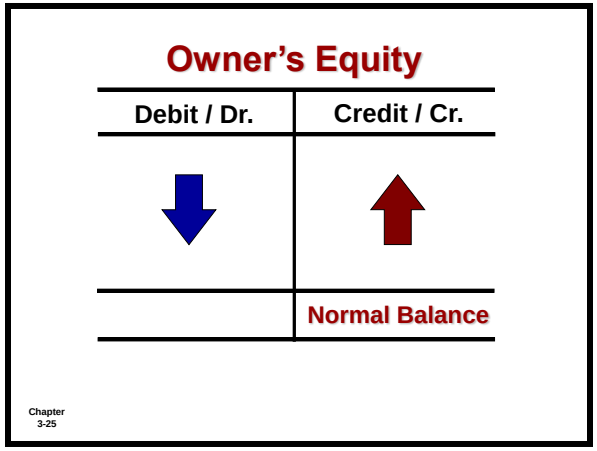




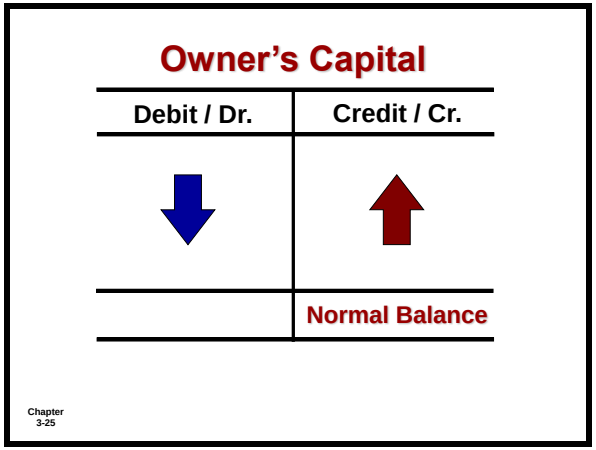
- **Assets** - Debits should exceed credits.
- **Liabilities** – Credits should exceed debits.
- **Normal balance** is on the increase side.

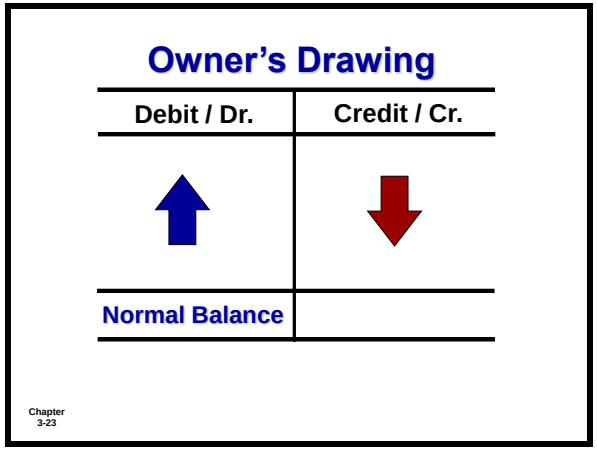
LO 1

Debits and Credits



- **Owner's investments** and **revenues** increase owner's equity (credit).
- **Owner's drawings** and **expenses** decrease owner's equity (debit).

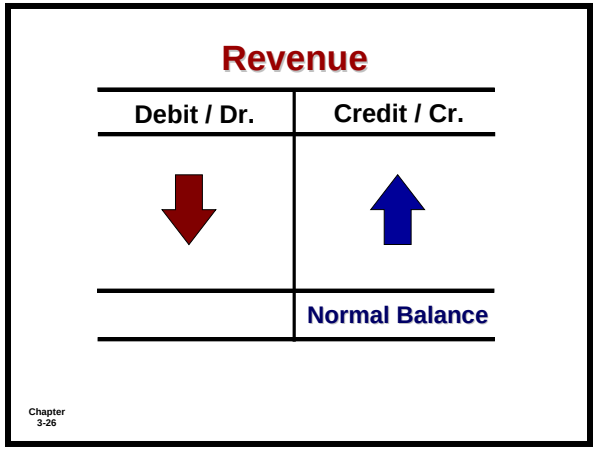


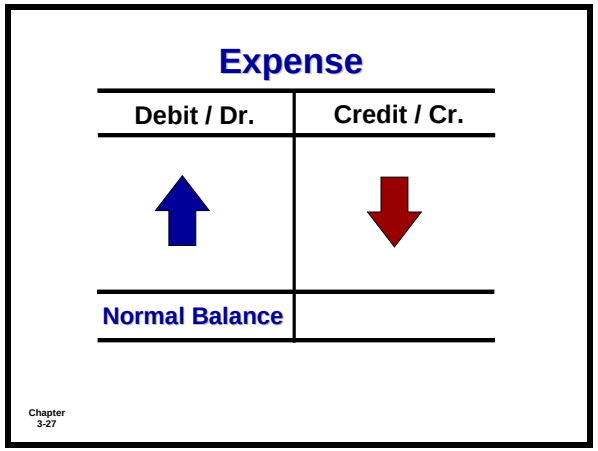


Helpful Hint Because revenues increase owner's equity, a revenue account has the same debit/credit rules as the Owner's Capital account. Expenses have the opposite effect.

LO 1

Debits and Credits





- The purpose of earning **revenues** is to benefit the owner(s).
- The effect of debits and credits on revenue accounts is the **same as** their effect on Owner's Capital.
- **Expenses** have the opposite effect: expenses decrease owner's equity.

LO 1

Debits/Credits Rules

Normal Balance **Debit**

Normal Balance **Credit**

Assets

Debit / Dr.	Credit / Cr.
↑	↓
Normal Balance	

Chapter 3-23

Liabilities

Debit / Dr.	Credit / Cr.
↓	↑
	Normal Balance

Owner's Equity

Debit / Dr.	Credit / Cr.
↓	↑
	Normal Balance

Chapter 3-25

Expense

Debit / Dr.	Credit / Cr.
↑	↓
Normal Balance	

Chapter 3-27

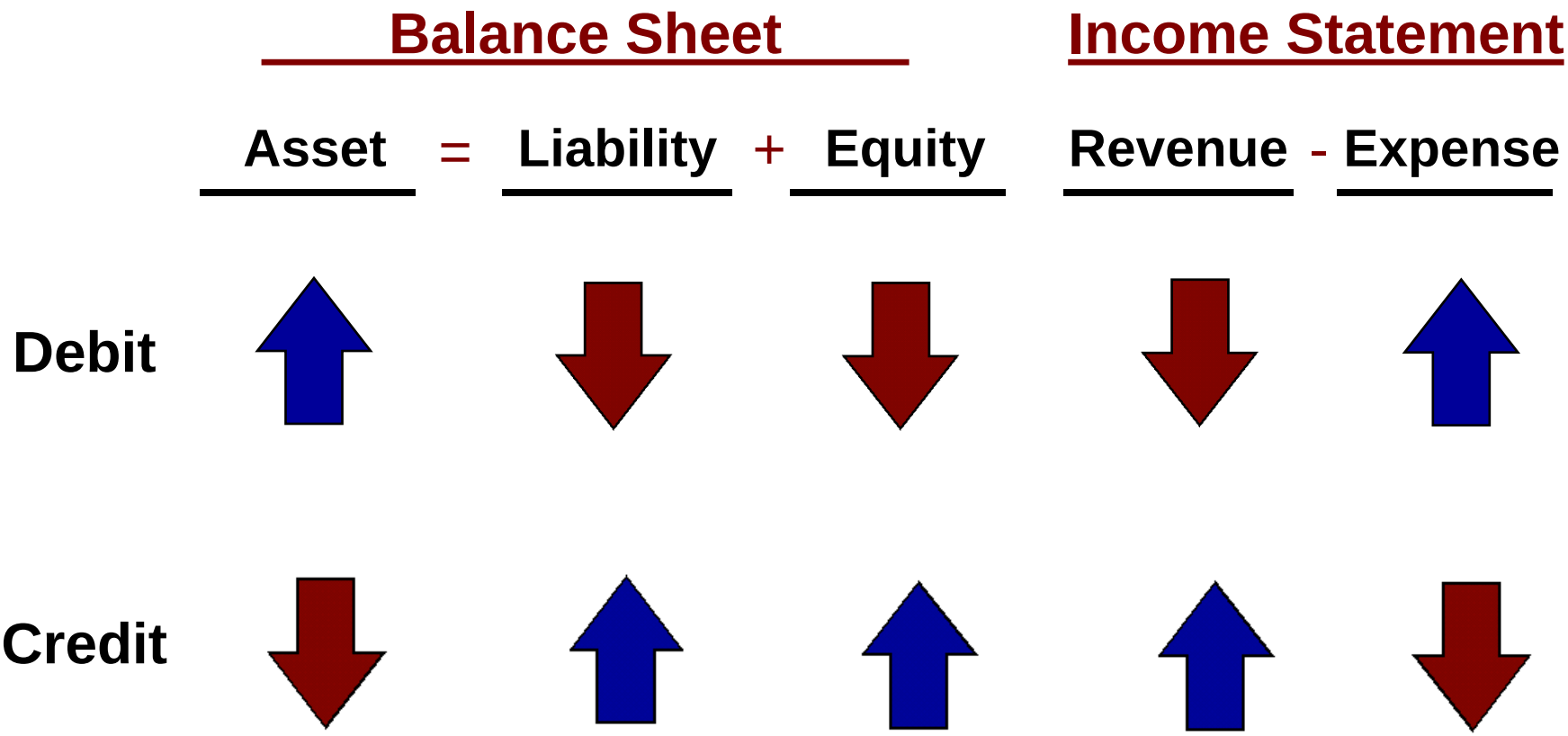
Revenue

Debit / Dr.	Credit / Cr.
↓	↑
	Normal Balance

Chapter 3-26

LO 1

Debits/Credits Rules



LO 1

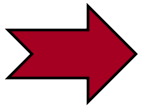
Debits/Credits Rules

Question

Debits:

a. increase both assets and liabilities.

b. decrease both assets and liabilities.



c. increase assets and decrease liabilities.

d. decrease assets and increase liabilities.

Debits/Credits Rules

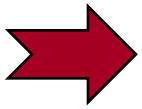
Question

Accounts that normally have debit balances are:

a. assets, expenses, and revenues.

b. assets, expenses, and equity.

c. assets, liabilities, and owner's drawing.



d. assets, owner's drawing, and expenses.

Summary of Debit/Credit Rules

Relationship among the assets, liabilities and owner's equity of a business:

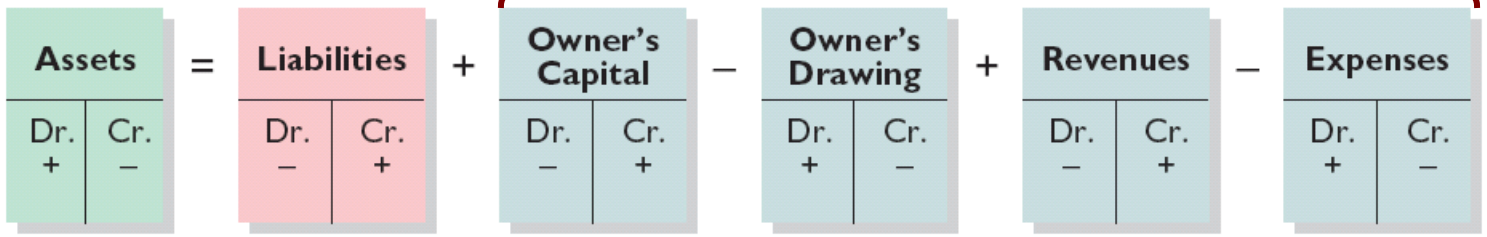
Illustration 2-11

Basic Equation

Assets = Liabilities + Owner's Equity

Expanded Equation

Debit/Credit Effects



The equation must be in balance after every transaction. Total **Debits** must equal total **Credits**.

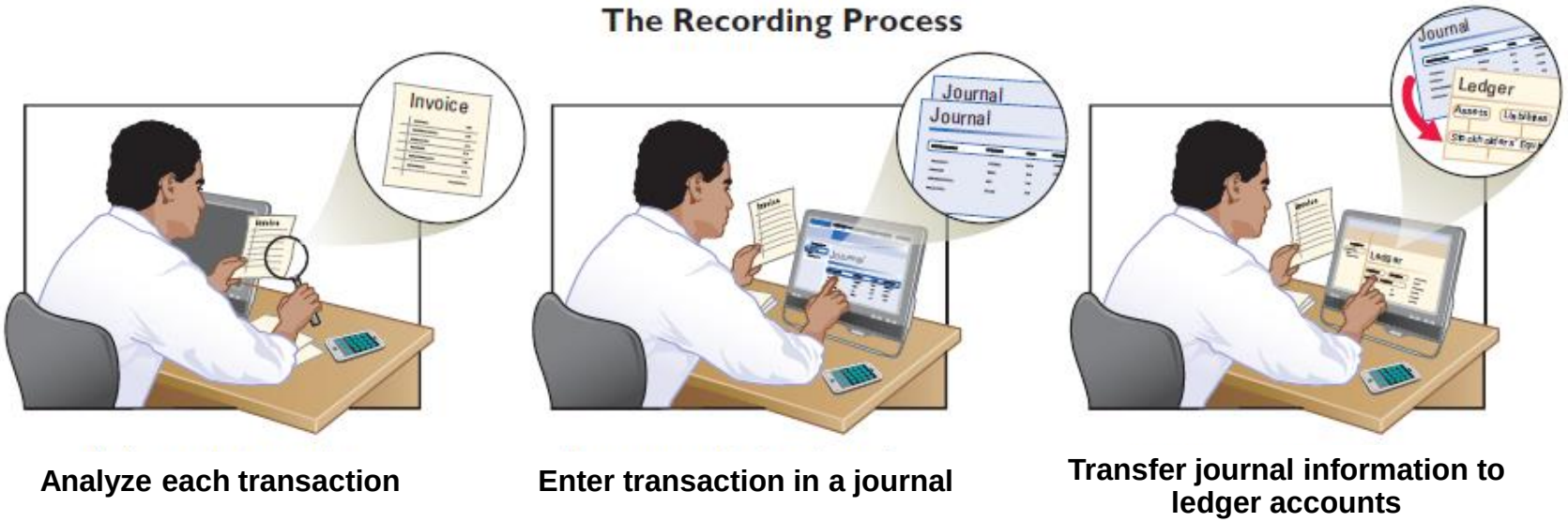
LO 1

LEARNING OBJECTIVE 2

Indicate how a journal is used in the recording process.

Steps in the Recording Process

Illustration 2-12



Business documents, such as a sales slip, a check, or a bill, provide evidence of the transaction.

Steps in the Recording Process

The Journal

- Book of original entry.
- Transactions recorded in chronological order.
- Contributions to the recording process:
  1. Discloses the **complete effects of a transaction**.
  2. Provides a **chronological record** of transactions.
  3. Helps to **prevent or locate errors** because the debit and credit amounts can be easily compared.

Steps in the Recording Process

JOURNALIZING - Entering transaction data in the journal.

Illustration: On September 1, Ray Neal invested $15,000 cash in the business, and Softbyte purchased computer equipment for $7,000 cash.

Illustration 2-13

GENERAL JOURNAL				
Date	**Account Title**	**Ref.**	**Debit**	**Credit**
Sept. 1	Cash		15,000	
	Owner's Capital			15,000
	Equipment		7,000	
	Cash			7,000

Steps in the Recording Process

SIMPLE AND COMPOUND ENTRIES

Illustration: On July 1, Butler Company purchases a delivery truck costing $14,000. It pays $8,000 cash now and agrees to pay the remaining $6,000 on account.

Illustration 2-14
Compound journal entry

GENERAL JOURNAL				
Date	**Account Title**	**Ref.**	**Debit**	**Credit**
July 1	Equipment		14,000	
	Cash			8,000
	Accounts payable			6,000

LO 2

Accounting Across the Organization — Microsoft



© flyfloor/iStockphoto

Boosting Microsoft's Profits

Microsoft originally designed the Xbox 360 to have 256 megabytes of memory. But the design department said that amount of memory wouldn't support the best special effects. The purchasing department said that adding more memory would cost $30—which was 10% of the estimated selling price of $300. The marketing department, however, "determined that adding the memory would let Microsoft reduce marketing costs and attract more game developers, boosting royalty revenue. It would also extend the life of the console, generating more sales."

As a result of these changes, Xbox enjoyed great success. But, it does have competitors. Its newest video game console, Xbox One, is now in a battle with Sony's Playstation4 for market share. How to compete? First, Microsoft bundled the critically acclaimed *Titanfall* with its Xbox One. By including the game most Xbox One buyers were going to purchase anyway, Microsoft was making its console more attractive. In addition, retailers are also discounting the Xbox, which should get the momentum going for increased sales. What Microsoft is doing is making sure that Xbox One is the center of the home entertainment system in the long run, even if it suffers a bit of a hardware loss today.

Sources: Robert A. Guth, "New Xbox Aim for Microsoft: Profitability," *Wall Street Journal* (May 24, 2005), p. C1; and David Thier, "Will Microsoft Give the Xbox One a $50 Price Cut?," *www.Forbes.com* (March 26, 2014).

In what ways is this Microsoft division using accounting to assist in its effort to become more profitable? (Go to **www.wiley.com/college/weygandt** for the answer and further analysis.)

DO IT! 2 Recording Business Activities

Kate Browne engaged in the following activities in establishing her salon, Hair It Is:

1. Opened a bank account in the name of Hair It Is and deposited $20,000 of her own money in this account as her initial investment.
2. Purchased equipment on account (to be paid in 30 days) for a total cost of $4,800.
3. Interviewed three persons for the position of hair stylist.

Prepare the entries to record the transactions.

DO IT! 2 Recording Business Activities

Prepare the entries to record the transactions.

1. Opened a bank account and deposited $20,000.

Cash	20,000	
Owner's Capital		20,000

2. Purchased equipment on account (to be paid in 30 days) for a total cost of $4,800.

Equipment	4,800	
Accounts Payable		4,800

3. Interviewed three persons for the position of hair stylist.

No entry

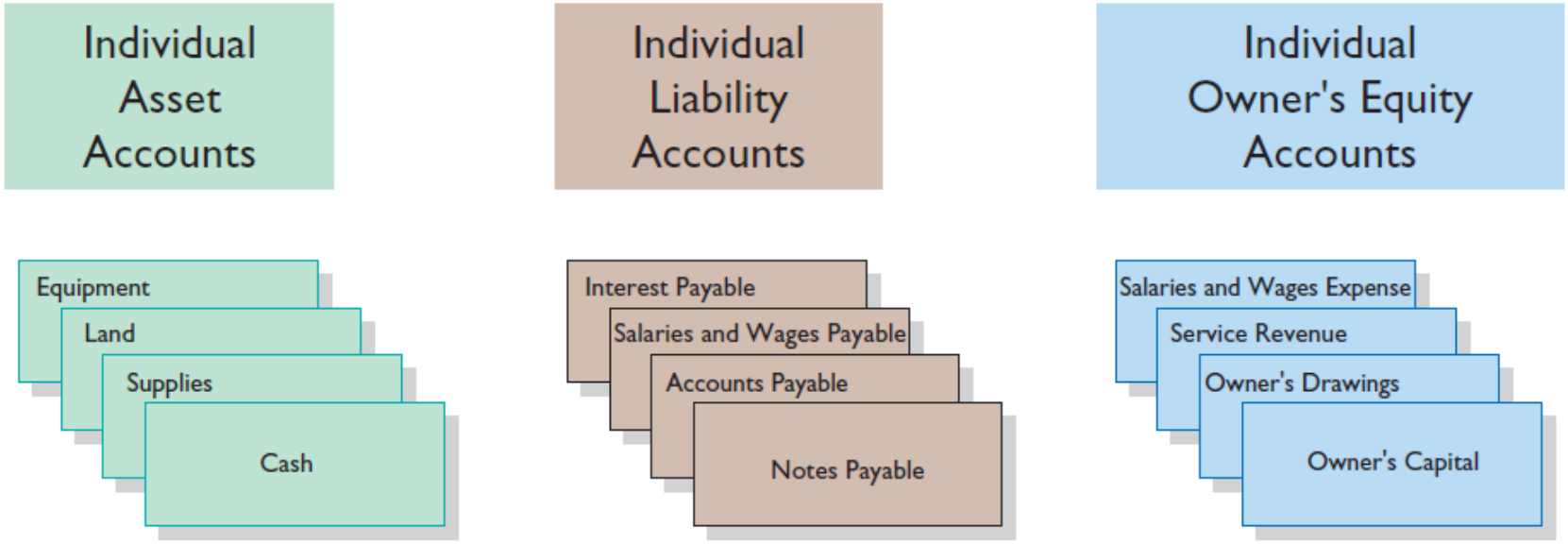
LEARNING OBJECTIVE 3

Explain how a ledger and posting help in the recording process.

The Ledger

- **General Ledger** contains all the asset, liability, and owner's equity accounts.

Illustration 2-15



The Ledger

STANDARD FORM OF ACCOUNT

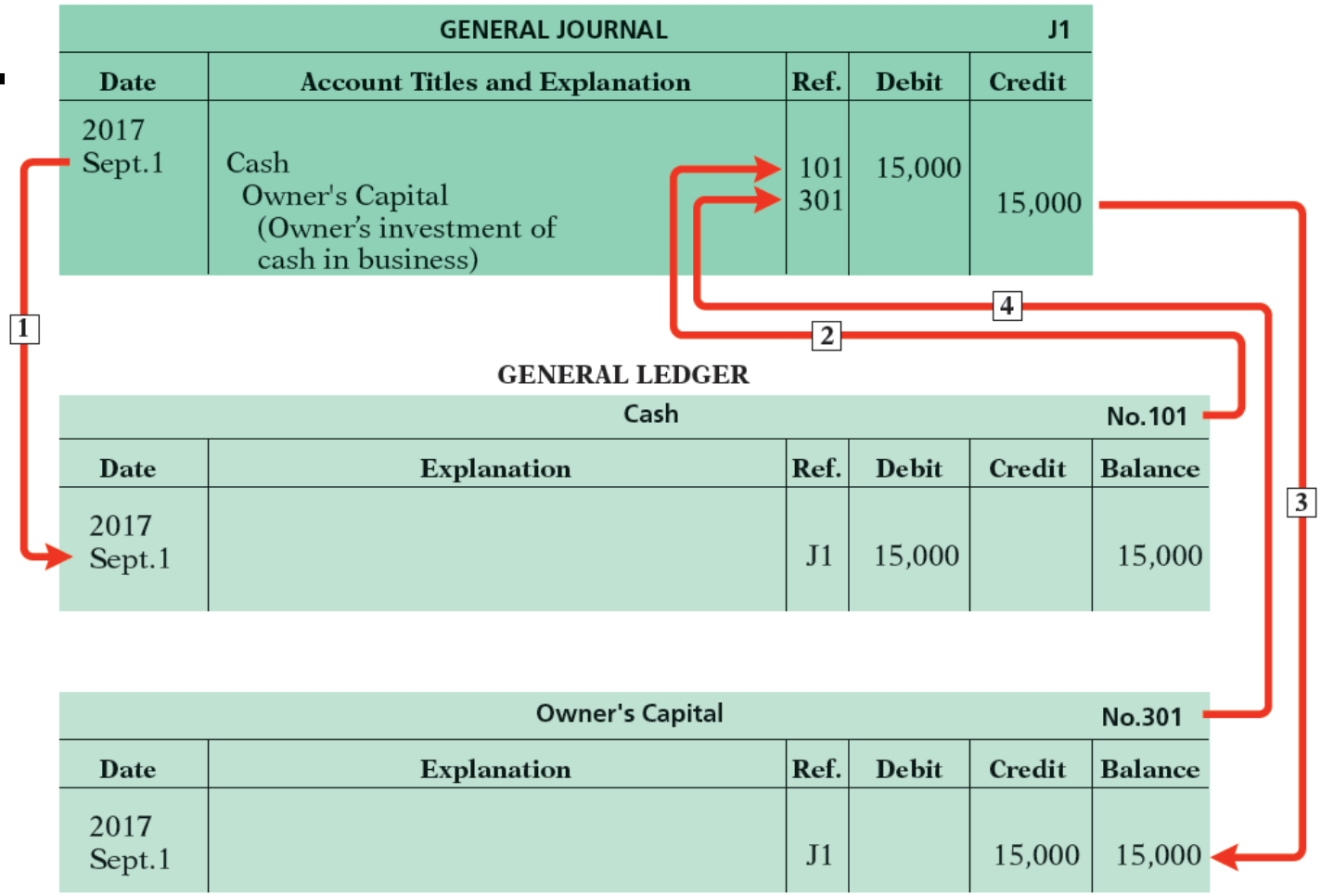
Illustration 2-16
Three-column form of account

CASH					NO. 101
Date	**Explanation**	**Ref.**	**Debit**	**Credit**	**Balance**
2017					
June 1			25,000		25,000
2				8,000	17,000
3			4,200		21,200
9			7,500		28,700
17				11,700	17,000
20				250	16,750
30				7,300	9,450

Ledger

POSTING

Transferring journal entries to the ledger accounts.



GENERAL JOURNAL — J1

Date	Account Titles and Explanation	Ref.	Debit	Credit
2017 Sept.1	Cash	101	15,000	
	Owner's Capital	301		15,000
	(Owner's investment of cash in business)			

GENERAL LEDGER

Cash — No.101

Date	Explanation	Ref.	Debit	Credit	Balance
2017 Sept.1		J1	15,000		15,000

Owner's Capital — No.301

Date	Explanation	Ref.	Debit	Credit	Balance
2017 Sept.1		J1		15,000	15,000

Key: 1 Post to debit account–date, journal page number, and amount.
2 Enter debit account number in journal reference column.
3 Post to credit account–date, journal page number, and amount.
4 Enter credit account number in journal reference column.

Illustration 2-17
Posting a journal entry

LO 3

Posting

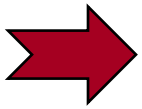
Question

Posting:

a. normally occurs before journalizing.

b. transfers ledger transaction data to the journal.

c. is an optional step in the recording process.



d. transfers journal entries to ledger accounts.

Chart of Accounts

Illustration 2-18



PIONEER ADVERTISING
Chart of Accounts

Assets

101 Cash
112 Accounts Receivable
126 Supplies
130 Prepaid Insurance
157 Equipment
158 Accumulated Depreciation—Equipment

Liabilities

200 Notes Payable
201 Accounts Payable
209 Unearned Service Revenue
212 Salaries and Wages Payable
230 Interest Payable

Owner's Equity

301 Owner's Capital
306 Owner's Drawings
350 Income Summary

Revenues

400 Service Revenue

Expenses

631 Supplies Expense
711 Depreciation Expense
722 Insurance Expense
726 Salaries and Wages Expense
729 Rent Expense
732 Utilities Expense
905 Interest Expense

LO 3

The Recording Process Illustrated

Follow these steps:

1. Determine what type of account is involved.
2. Determine what items increased or decreased and by how much.
3. Translate the increases and decreases into debits and credits.

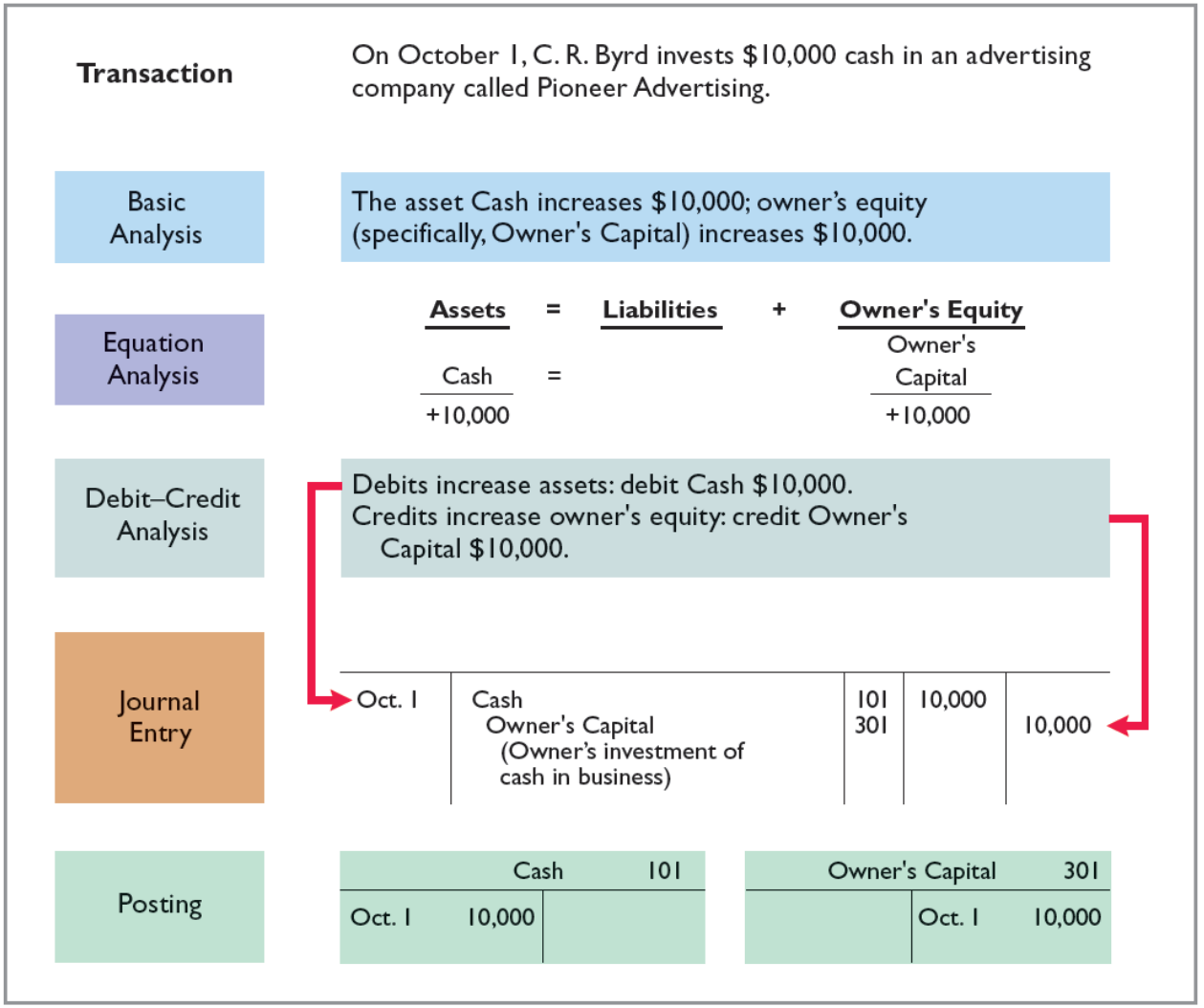


Illustration 2-19

LO 3

Transaction

On October 1, Pioneer purchases office equipment costing $5,000 by signing a 3-month, 12%, $5,000 note payable.

Basic Analysis

The asset Equipment increases $5,000; the liability Notes Payable increases $5,000.

Equation Analysis

Assets	=	Liabilities	+	Owner's Equity
		Notes		
Equipment	=	Payable		
+5,000		+5,000		

Debit–Credit Analysis

Debits increase assets: debit Equipment $5,000.
Credits increase liabilities: credit Notes Payable $5,000.

Journal Entry

Oct. 1	Equipment	157	5,000	
	Notes Payable	200		5,000
	(Issued 3-month, 12% note for office equipment)			

Posting

Equipment		157
Oct. 1	5,000	

Notes Payable		200
	Oct. 1	5,000

Illustration 2-20
Purchase of office equipment

LO 3

Transaction

On October 2, Pioneer receives a $1,200 cash advance from R. Knox, a client, for advertising services that are expected to be completed by December 31.

Basic Analysis

The asset Cash increases $1,200; the liability Unearned Service Revenue increases $1,200 because the service has not been performed yet. That is, when Pioneer receives an advance payment, it should record an unearned revenue (a liability) in order to recognize the obligation that exists. Note also that although most liabilities have the word "payable" in their title, unearned revenue is considered a liability because the liability is satisfied by providing a product or performing a service.

Equation Analysis

Assets	=	Liabilities	+	Owner's Equity
		Unearned Service		
Cash	=	Revenue		
+1,200	=	+1,200		

Debit–Credit Analysis

Debits increase assets: debit Cash $1,200.
Credits increase liabilities: credit Unearned Service Revenue $1,200.

Journal Entry

Oct. 2	Cash	101	1,200	
	Unearned Service Revenue	209		1,200
	(Received cash from R. Knox for future service)			

Posting

Cash			101
Oct. 1	10,000		
2	1,200		

Unearned Service Revenue			209
		Oct. 2	1,200

Illustration 2-21
Receipt of cash for future service

Transaction

On October 3, Pioneer pays office rent for October in cash, $900.

Basic Analysis

The expense account Rent Expense increases $900 because the payment pertains only to the current month; the asset Cash decreases $900.

Equation Analysis

Assets	=	Liabilities	+	Owner's Equity
				Rent Expense
Cash	=			
-900				-900

Debit–Credit Analysis

Debits increase expenses: debit Rent Expense $900.
Credits decrease assets: credit Cash $900.

Journal Entry

Oct. 3	Rent Expense	729	900	
	Cash	101		900
	(Paid October rent)			

Posting

Cash			101
Oct. 1	10,000	Oct. 3	900
2	1,200		

Rent Expense			729
Oct. 3	900		

Illustration 2-22
Payment of monthly rent

Illustration 2-23
Payment for insurance

Transaction

On October 4, Pioneer pays $600 for a one-year insurance policy that will expire next year on September 30.

Basic Analysis

The asset Prepaid Insurance increases $600 because the payment extends to more than the current month; the asset Cash decreases $600. Payments of expenses that will benefit more than one accounting period are prepaid expenses or prepayments. When a company makes a payment, it debits an asset account in order to show the service or benefit that will be received in the future.

Equation Analysis

Assets			=	Liabilities	+	Owner's Equity
Cash	+	Prepaid Insurance				
-600		+600				

Debit–Credit Analysis

Debits increase assets: debit Prepaid Insurance $600.
Credits decrease assets: credit Cash $600.

Journal Entry

Oct. 4	Prepaid Insurance	130	600	
	Cash	101		600
	(Paid one-year policy; effective date October 1)			

Posting

Cash			101
Oct. 1	10,000	Oct. 3	900
2	1,200	4	600

Prepaid Insurance			130
Oct. 4	600		

Transaction

On October 5, Pioneer purchases an estimated 3-month supply of advertising materials on account from Aero Supply for $2,500.

Basic Analysis

The asset Supplies increases $2,500; the liability Accounts Payable increases $2,500.

Equation Analysis

Assets	=	Liabilities	+	Owner's Equity
		Accounts		
Supplies	=	Payable		
+2,500		+2,500		

Debit–Credit Analysis

Debits increase assets: debit Supplies $2,500.
Credits increase liabilities: credit Accounts Payable $2,500.

Journal Entry

Oct. 5	Supplies	126	2,500	
	Accounts Payable	201		2,500
	(Purchased supplies on account from Aero Supply)			

Posting

Supplies			126
Oct. 5	2,500		

Accounts Payable			201
		Oct. 5	2,500

Illustration 2-24
Purchase of supplies on credit

The Recording Process Illustrated

Event	On October 9, Pioneer hires four employees to begin work on October 15. Each employee is to receive a weekly salary of $500 for a 5-day work week, payable every 2 weeks—first payment made on October 26.
Basic Analysis	A business transaction has not occurred. There is only an agreement between the employer and the employees to enter into a business transaction beginning on October 15. Thus, a debit–credit analysis is not needed because there is no accounting entry. (See transaction of October 26 for first entry.)

Illustration 2-25
Hiring of employees

Transaction

On October 20, C. R. Byrd withdraws $500 cash for personal use.

Basic Analysis

The owner's equity account Owner's Drawings increases $500; the asset Cash decreases $500.

Equation Analysis

Assets	=	Liabilities	+	Owner's Equity
				Owner's Drawings
Cash	=			
-500				-500

Debit–Credit Analysis

Debits increase drawings: debit Owner's Drawings $500.
Credits decrease assets: credit Cash $500.

Journal Entry

Oct. 20	Owner's Drawings	306	500	
	Cash	101		500
	(Withdrew cash for personal use)			

Posting

Cash 101

Oct. 1	10,000	Oct. 3	900
2	1,200	4	600
		20	500

Owner's Drawings 306

Oct. 20	500		

Illustration 2-26
Withdrawal of cash by owner

Transaction

On October 26, Pioneer owes employee salaries of $4,000 and pays them in cash. (See October 9 event.)

Basic Analysis

The expense account Salaries and Wages Expense increases $4,000; the asset Cash decreases $4,000.

Equation Analysis

Assets	=	Liabilities	+	Owner's Equity
				Salaries and Wages Expense
Cash	=			
-4,000				-4,000

Debit–Credit Analysis

Debits increase expenses: debit Salaries and Wages Expense $4,000.
Credits decrease assets: credit Cash $4,000.

Journal Entry

Oct. 26	Salaries and Wages Expense	726	4,000	
	Cash	101		4,000
	(Paid salaries to date)			

Posting

Cash			101	Salaries and Wages Expense			726
Oct. 1	10,000	Oct. 3	900	Oct. 26	4,000		
2	1,200	4	600				
		20	500				
		26	4,000				

Illustration 2-27
Payment of salaries

Transaction

On October 31, Pioneer receives $10,000 in cash from Copa Company for advertising services performed in October.

Basic Analysis

The asset Cash increases $10,000; the revenue account Service Revenue increases $10,000.

Equation Analysis

Assets	=	Liabilities	+	Owner's Equity
				Service Revenue
Cash	=			
+10,000				+10,000

Debit–Credit Analysis

Debits increase assets: debit Cash $10,000.
Credits increase revenues: credit Service Revenue $10,000.

Journal Entry

Oct. 31	Cash	101	10,000	
	Service Revenue	400		10,000
	(Received cash for services performed)			

Posting

Cash			101
Oct. 1	10,000	Oct. 3	900
2	1,200	4	600
31	10,000	20	500
		26	4,000

Service Revenue			400
		Oct. 31	10,000

Illustration 2-28
Receipt of cash for services performed

LO 3

Summary Journalizing and Posting

Illustration 2-29

GENERAL JOURNAL				PAGE J1
Date	**Account Titles and Explanation**	**Ref.**	**Debit**	**Credit**
2017				
Oct. 1	Cash	101	10,000	
	Owner's Capital	301		10,000
	(Owner's investment of cash in business)			
1	Equipment	157	5,000	
	Notes Payable	200		5,000
	(Issued 3-month, 12% note for office equipment)			
2	Cash	101	1,200	
	Unearned Service Revenue	209		1,200
	(Received cash from R. Knox for future service)			
3	Rent Expense	729	900	
	Cash	101		900
	(Paid October rent)			

LO 3

GENERAL JOURNAL				PAGE J1
Date	**Account Titles and Explanation**	**Ref.**	**Debit**	**Credit**
4	Prepaid Insurance	130	600	
	Cash	101		600
	(Paid one-year policy; effective date October 1)			
5	Supplies	126	2,500	
	Accounts Payable	201		2,500
	(Purchased supplies on account from Aero Supply)			
20	Owner's Drawings	306	500	
	Cash	101		500
	(Withdrew cash for personal use)			
26	Salaries and Wages Expense	726	4,000	
	Cash	101		4,000
	(Paid salaries to date)			
31	Cash	101	10,000	
	Service Revenue	400		10,000
	(Received cash for services performed)			

GENERAL LEDGER

Cash — No. 101

Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 1		J1	10,000		10,000
2		J1	1,200		11,200
3		J1		900	10,300
4		J1		600	9,700
20		J1		500	9,200
26		J1		4,000	5,200
31		J1	10,000		**15,200**

Supplies — No. 126

Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 5		J1	2,500		**2,500**

Prepaid Insurance — No. 130

Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 4		J1	600		**600**

Equipment — No. 157

Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 1		J1	5,000		**5,000**

Notes Payable — No. 200

Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 1		J1		5,000	**5,000**

Accounts Payable — No. 201

Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 5		J1		2,500	**2,500**

Unearned Service Revenue — No. 209

Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 2		J1		1,200	**1,200**

Owner's Capital — No. 301

Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 1		J1		10,000	**10,000**

Owner's Drawings — No. 306

Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 20		J1	500		**500**

Service Revenue — No. 400

Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 31		J1		10,000	**10,000**

Salaries and Wages Expense — No. 726

Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 26		J1	4,000		**4,000**

Rent Expense — No. 729

Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 3		J1	900		**900**

Illustration 2-30

LO 3

LEARNING OBJECTIVE 4

Prepare a trial balance.



PIONEER ADVERTISING
Trial Balance
October 31, 2017

	Debit	Credit
Cash	$ 15,200	
Supplies	2,500	
Prepaid Insurance	600	
Equipment	5,000	
Notes Payable		$ 5,000
Accounts Payable		2,500
Unearned Service Revenue		1,200
Owner's Capital		10,000
Owner's Drawings	500	
Service Revenue		10,000
Salaries and Wages Expense	4,000	
Rent Expense	900	
	$28,700	$28,700

Illustration 2-31

LO 4

Trial Balance

Limitations of a Trial Balance

Trial balance may balance even when:

1. A transaction is not journalized.
2. A correct journal entry is not posted.
3. A journal entry is posted twice.
4. Incorrect accounts are used in journalizing or posting.
5. Offsetting errors are made in recording the amount of a transaction.

ETHICS NOTE

An *error* is the result of an unintentional mistake; it is neither ethical nor unethical. An *irregularity* is an intentional misstatement, which *is* viewed as unethical.

Dollar Signs and Underlining

Dollar Signs

- Do not appear in journals or ledgers.
- Typically used only in the trial balance and the financial statements.
- Shown only for the first item in the column and for the total of that column.

Underlining

- A single line is placed under the column of figures to be added or subtracted.
- Totals are double-underlined.